EXECUTIVE SUMMARY

1. Introduction

Old folks in Amulung claim that the place got its name from a vine which was then abundant in the forest. Native called this vine " Am-a- mulung". Since then, the place came to be known as Amulung up to its operation as Municipality on December 15, 1734.

Amulung is 26 kilometers north of Tuguegarao City and could be reached in 35 minutes by land transportation. It has 47 barangays and classified as second (2nd) class Municipality covering an area of 24,220 hectares and populated by about 42,754 inhabitants.

The enactment of Republic Act 7160, otherwise known as the "Local Government Code of 1991" extended the powers of the Local Government units to include not only on the ability to create sources of funds but also gave them total independence in managing, deciding and planning its own administrative and financial affairs in conformity with the National Government's thrust for sustainable social and economic development.

The audit covered the accounts and operations of the Municipality of Amulung, Cagayan for the year 2014 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations were complied with; and whether funds were utilized in the most efficient, effective and economical manner. Financial, compliance and value-for-money audit were conducted to achieve these audit objectives.

2. Financial Highlights

For CY 2014, the financial information of the municipality is presented below:

Particulars	2014	2013	Increase/(Decrease)	
			Amount	Percentage
Financial Condition				
Assets	231,562,305.93	203,459,477.55	28,102,827.54	13.81%
Liabilities	46,937,956.07	47,239,012.87	(301,056.86)	(0.63%)
Government Equity	184,624,349.86	156,220,464.68	28,403,885.18	18.18%
Result of Operations				
Income	97,033,890.11	86,472,744.97	10,561,145.14	12.21%
Expenses	61,521,197.95	61,056,449.13	464,748.82	0.75%
Appropriations, Allotments and Obligations				

Total Appropriation	112,224,017.00	109,754,388.76	2,469,628.24	(2.25%)
Total Obligations	63,254,344.11	75,172,987.69	(11,918,643.58)	(15.85%)
Comparative Statements of Funds Received from NGAs, LGU, NGOs, & POs				
Nat'l Gov't Offices	7,337,090.00	4,177,000.00	3,160,090.00	75.65%
Local Gov't Units	6,794,780.00	47,000.00	6,747,780.00	14,356.97%
Comparative Statements of Funds Transferred to NGAs, LGU, NGOs, & POs				
Local Gov't Units	47,000.00	47,000.00	0.00	0%

3. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of the presentation of the financial statements due to the effects on the (a) unreconciled balance of ₱2,653,949.91 between the adjusted book and bank balances as appearing in the Bank Reconciliation Statement; (b) failure of management to complete the conduct of Physical count of PPE and to submit the Report on the Physical Count of PPE rendering the PPE accounts with a net book value of P71,295,358.32 doubtful; (c) Real Property Tax (RPT) Receivable and Special Education Tax (SET) Deferred Income amounting to ₱4,026,767.83 and ₱1,039,094.10, respectively, were doubtful due to non setting up at the beginning of the year the total RPT and SET due and collectible for the year; and (d) absence of subsidiary ledgers supporting the Other Receivables of ₱1,719,320.34 rendered the account unreliable.

4. Summary of Significant Observations and Recommendations

a. Cash advances totaling to ₱220,763.08 remained unliquidated as at year-end due to the failure of management to require concerned officials and employees to settle their respective cash advances.

We recommend that management enforce the liquidation of outstanding cash advances and should not grant additional cash advance to officials and employees unless the previous cash advance shall have been first liquidated or proper accounting thereof had been made. Likewise, the Accountant should exert effort to determine the details of the unliquidated cash advance under the Trust Fund amounting to ₱23,170.72 in order to establish reliability of the amount.

b. Of the 14 development projects funded out of 20% Development Fund for CY 2014 totaling ₱23,375,413.22, only three projects with a total allotment of ₱5,500,000.00 or 21% of the total number of the programmed projects were completed during the year due to delay on the conduct of procurement process.

We recommend that the Municipal Government should meticulously and judiciously plan the procurement of development projects under the 20%

Development Fund to ensure full implementation of development projects, thus contributing to the attainment of socio economic development in the municipality.

c. The insurable properties of the municipality, except for motor vehicles, are not protected against losses arising from fire and other incidents because these properties are not insured with General Insurance Fund and Property Replacement Fund of the GSIS.

We reiterated our recommendation that the management insure with GSIS all insurable properties of the LGU pursuant to COA Circular No. 92-390.

5. Summary of Suspensions, Disallowances and Charges

The following are the summary of suspensions, disallowances and charges as of December 31, 2014:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00
Disallowances					
Prior Years	₱18,245,142.40	0.00	0.00	₱18,245,142.40	₱0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	₱18,245,142.40	0.00	0.00	₱18,245,142.40	0.00
Charges					
Prior Years	0.00	0.00	0.00	0.00	0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	0.00	0.00	0.00	0.00	0.00

6. Status of Implementation of Prior Year's Unimplemented Audit Recommendations

Out of 27 audit recommendations contained in the CY 2013 Annual Audit Report, nine were fully implemented and 18 were partially implemented.